

Long-Term Capital Gain A profit on the sale of a security or mutual fund share that has been held for more than one year.

Management Fee The amount a mutual fund pays to its investment advisor for the work of overseeing the fund's holdings. Also called an *advisory fee*.

Market Capitalization A determination of a company's value, calculated by multiplying the total number of shares of the company's stock outstanding by the price per share. Also called *capitalization*.

Maturity/Maturity Date The date when the issuer of a money market instrument or bond agrees to repay the principal, or face value, to the buyer.

Median Market Cap The midpoint of the market capitalization (market price multiplied by the number of shares outstanding) of the stocks in a portfolio. Half the stocks in the portfolio will have a higher market capitalization, and half will have a lower market capitalization.

Midcap A company whose stock market value is between \$2 billion and \$10 billion, although the range varies among index providers.

Municipal Bond Fund A mutual fund that invests in tax-exempt bonds issued by state, city, and/or local governments. The interest obtained from these bonds is passed through to shareholders and is generally free of federal (and sometimes state and local) income taxes.

Mutually Exclusive A situation in which the occurrence of one event excludes the possibility of another event. If an investment is a member of one index, this precludes membership in others.

Negative Correlation A situation in which the value of one of two investments moves opposite to the value of the other.

Net Asset Value (NAV) The market value of a mutual fund's total assets minus its liabilities, divided by the number of shares outstanding. The value of a single share is called its *share value* or *share price*.

No-Load Fund A mutual fund that charges no sales commission or load.